

Accounting for Merchandising Operations

Chapter 5

Chapter 5 Learning Objectives

CONCEPTUAL

- C1** Describe merchandise activities and identify income components for a merchandising company.
- C2** Identify and explain the inventory asset and cost flows of a merchandising company.

ANALYTICAL

- A1** Compute the acid-test ratio and explain its use to assess liquidity.
- A2** Compute the gross margin ratio and explain its use to assess profitability.

PROCEDURAL

- P1** Analyze and record transactions for merchandise purchases using a perpetual system.
- P2** Analyze and record transactions for merchandise sales using a perpetual system.
- P3** Prepare adjustments and close accounts for a merchandising company.
- P4** Define and prepare multiple-step and single-step income statements.
- P5** Appendix 5A – Record and compare merchandising transactions using both periodic and perpetual inventory system.
- P6** Appendix 5C – Prepare adjustments for discounts, returns and allowances per revenue recognition rules.
- P7** Appendix 5D – Record and compare merchandising transactions using the gross method and net method.

Learning Objective

C1:

Describe merchandise activities and identify income components for a merchandising company.

Reporting Income for a Merchandiser

Service organizations **sell time** to earn revenue.

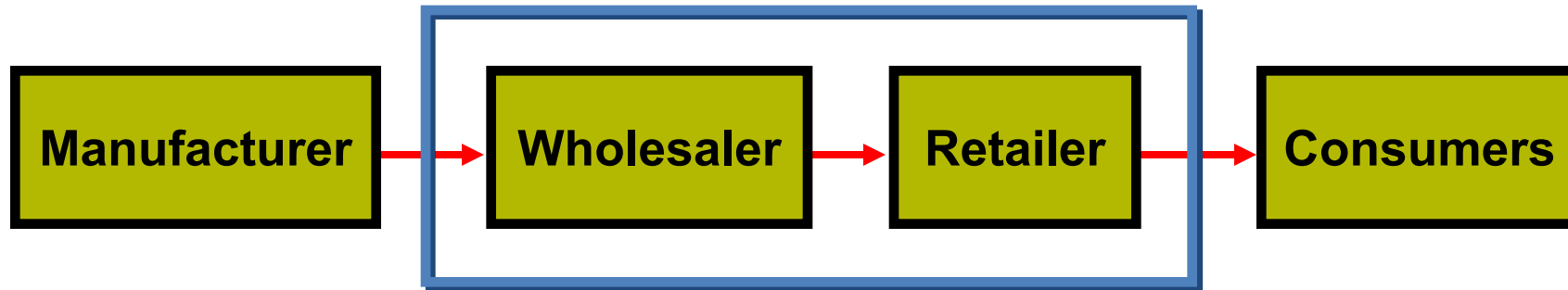
Examples: Accounting firms, law firms,
and plumbing services

Service Company



Reporting Income for a Merchandiser

Merchandising Companies

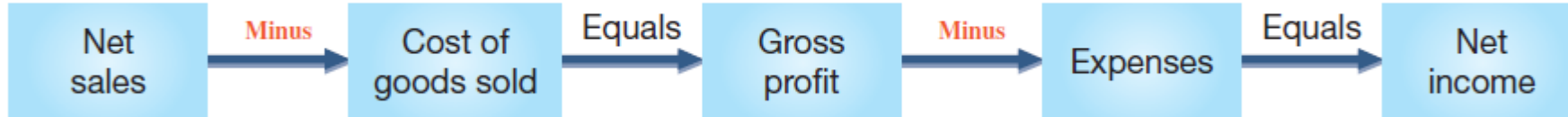


Reporting Income for a Merchandiser

Merchandising companies sell **products** to earn revenue.

Examples: sporting goods, clothing, and auto parts stores

Merchandiser



Service Company

LIBERTY TAX Income Statement For Year Ended April 30, 2016	
Revenues	\$173
Expenses	<u>155</u>
Net income	<u>\$ 18</u>

Merchandising Company

NORDSTROM INC. Income Statement For Year Ended January 31, 2016	
Net sales	\$14,437
Cost of goods sold	<u>9,168</u>
Gross profit	<u>5,269</u>
Expenses	<u>4,669</u>
Net income	<u>\$ 600</u>

Exhibit
5.2

Learning Objective

C2:

Identify and explain the inventory asset and cost flows of a merchandising company.

Operating Cycle for a Merchandiser

Begins with the purchase of merchandise and ends with the collection of cash from the sale of merchandise.



Exhibit
5.3

Inventory Systems

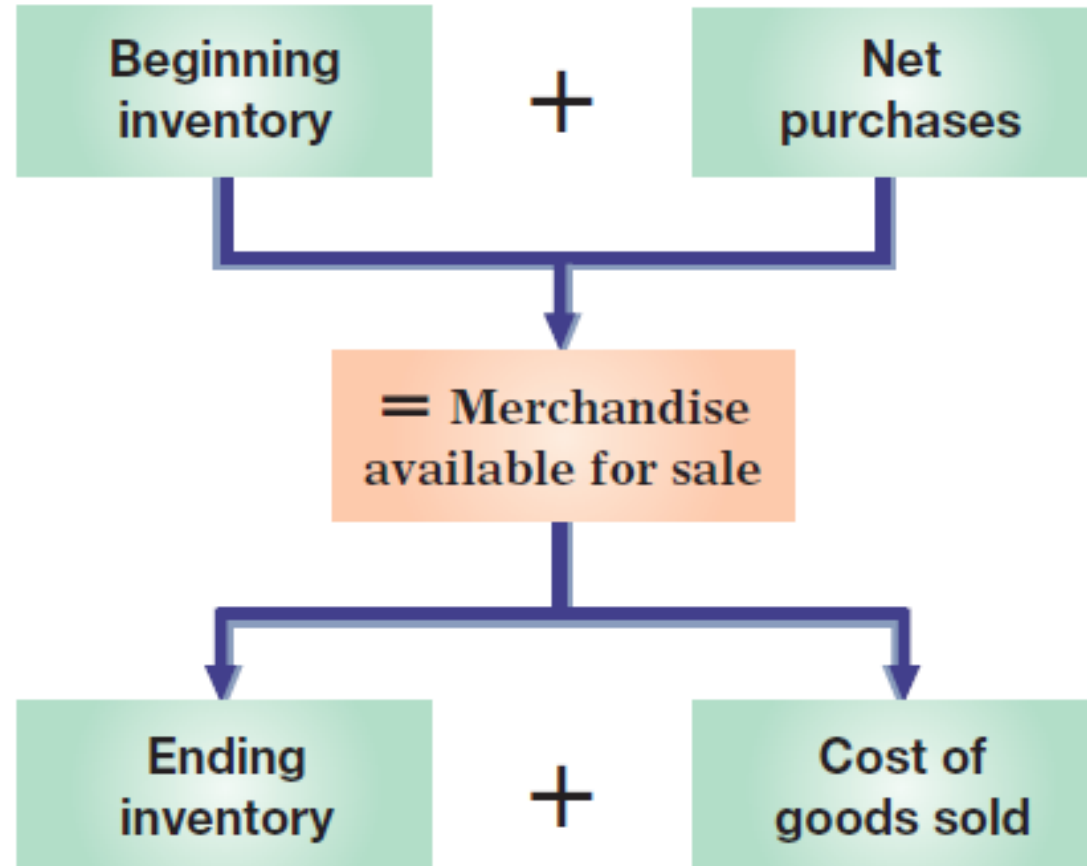


Exhibit
5.4

Inventory Systems

➤ Perpetual systems

- updates accounting records for each purchase and sale of merchandising

➤ Periodic systems

- Updates records for purchase and sale of merchandise only at the end of the accounting period

Learning Objective

P1:

Analyze and record transactions for merchandise purchases using a perpetual system.

Trade Discounts

Used by manufacturers and wholesalers to offer better prices for greater quantities purchased.

Example

Z-Mart offers a 30% trade discount for orders of 1,000 units or more on its popular product Racer. Each Racer has a list price of \$5.25.

Quantity sold	1,000
Price per unit	\$ 5.25
Total	<u>5,250</u>
Less 30% discount	<u>(1,575)</u>
Invoice price	<u><u>\$ 3,675</u></u>

Accounting for Merchandise Purchases

Exhibit
5.6

INVOICE

① **TREX**
W9797 Cherry Rd.
Antigo, WI 54409

SOLD TO

③ **Firm Name** Z-Mart

Attention of Tom Novak, Purchasing Agent

Address 10 Michigan Street

City Chicago

State Illinois **Zip** 60521

② **Invoice**

Date	Number
11/2/17	4657-2

P.O. Date	Salesperson	⑤ Terms	⑥ Freight	Shlp
10/30/17	#141	2/10, n/30	FOB Destination	Via FedEx

Model No.	Description	Quantity	Price	Amount
⑦ CH015	Toddler-Challenger X7	1	150	150
SD099	Boys/Girls-Speed Demon	1	350	350

See reverse for terms of sale and returns.

Subtotal	500
Shipping	—
Tax	—
⑧ Total	500

Net of Discount	\$490 ⑨
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Key: ① Seller ② Invoice date ③ Purchaser ④ Order date ⑤ Credit terms
⑥ Freight terms ⑦ Goods ⑧ Total Invoice amount ⑨ Net amount

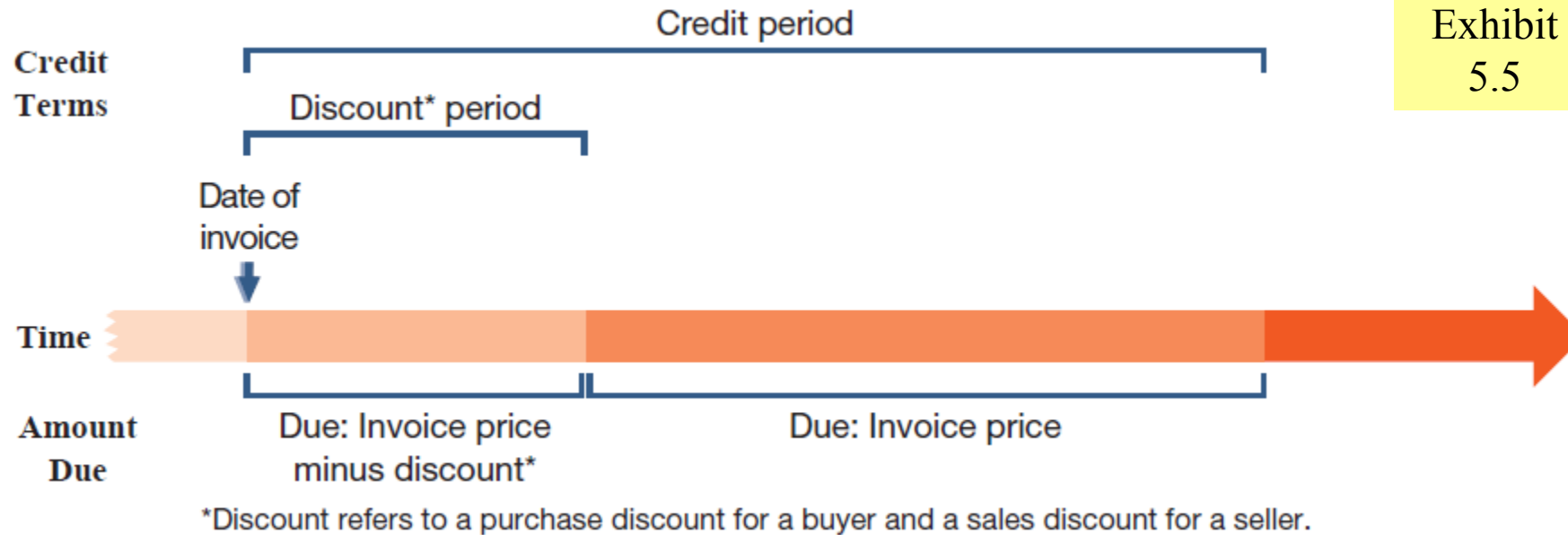
Purchases without Cash Discounts

On November 2, Z-Mart purchased \$500 of merchandise inventory for cash.

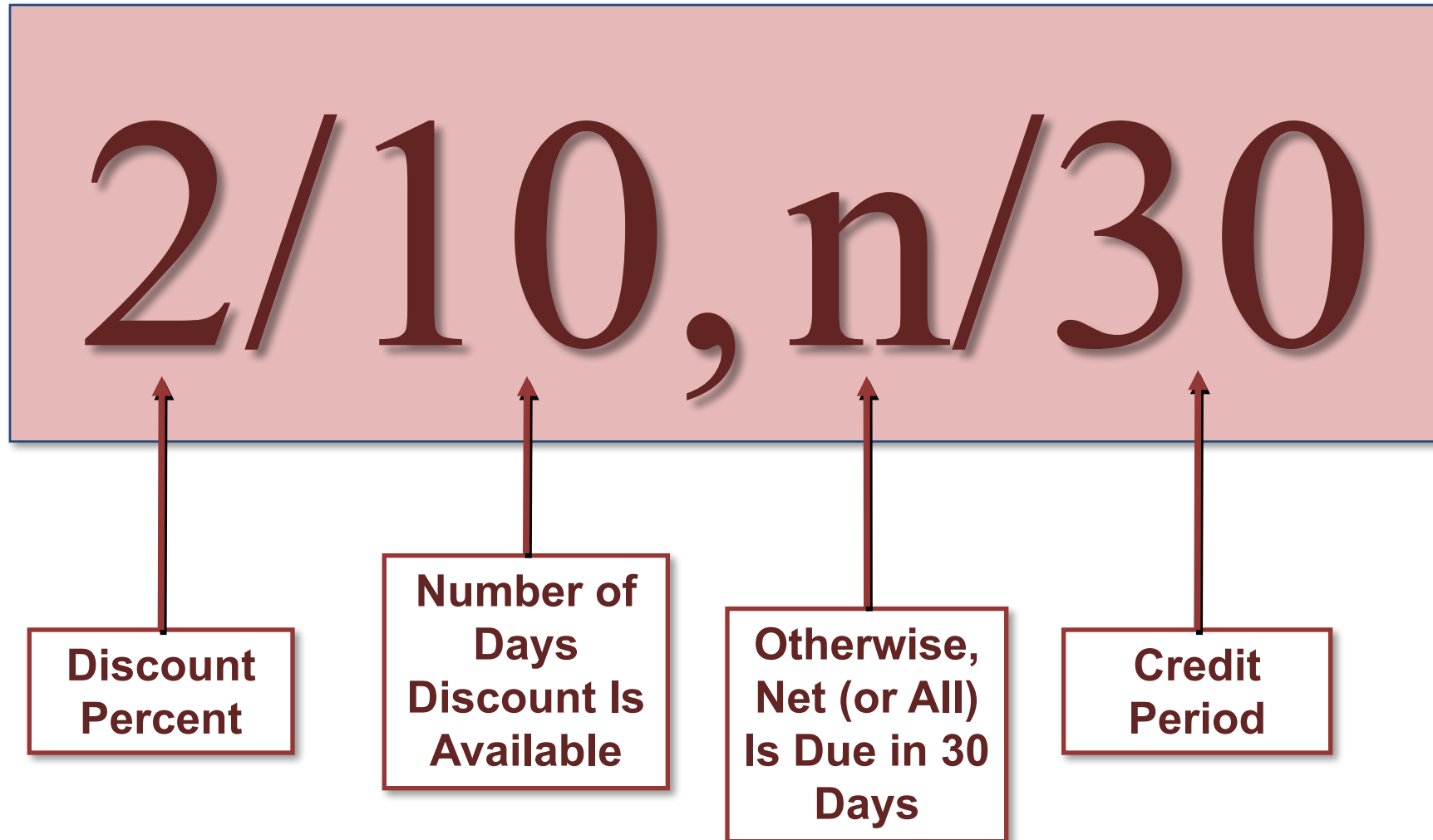
Nov. 2	Merchandise Inventory	500	
	Cash		500
	<i>Purchased goods for cash.</i>		

Credit Terms

A deduction from the invoice price granted to induce early payment of the amount due.



Purchase Discounts (Cash Discount)



Purchases with Cash Discounts

On November 2, Z-Mart purchased \$500 of merchandise inventory on account, credit terms are 2/10, n/30.

(a) Nov. 2	Merchandise Inventory	500	
	Accounts Payable		500
	<i>Purchased goods, terms 2/10, n/30.</i>		

Payment within Discount Period

On November 12, Z-Mart paid the amount due on the purchase of November 2.

(b1) Nov. 12	Accounts Payable	500	
	Merchandise Inventory.....		10
	Cash*		490
	<i>Paid for goods within discount period.</i>		
	<i>* \$500 × (100% – 2%)</i>		

Payment within Discount Period

After we post these entries, the accounts involved look like these:

Merchandise Inventory			
Nov. 2	500		
		Nov. 12	10
Bal.	490		

Accounts Payable			
		Nov. 2	500
Nov. 12	500		
		Bal.	0

Cash			
		Nov. 12	490

Payment after Discount Period

On December 2, Z-Mart paid the amount due on the purchase of November 2.

(b2) Dec. 2	Accounts Payable	500	
	Cash		500
	<i>Paid for goods outside discount period.</i>		

Purchases with Returns and Allowances

Purchase Return:

Merchandise returned by the purchaser to the supplier.

Purchase Allowance:

A price reduction to the buyer of defective or unacceptable merchandise.

Purchases Allowances

On November 5, Z-Mart (buyer) issues a \$30 debit memorandum for an allowance from Trex for defective merchandise.

(c1) Nov. 5	Accounts Payable	30	
	Merchandise Inventory.....		30
	<i>Allowance for defective goods.</i>		

Purchases Returns

Z-Mart purchases \$250 of merchandise on June 1 with terms 2/10, n/60. On June 3, Z-Mart returns \$50 of goods before paying the invoice. When Z-Mart pays on June 11, it takes the 2% discount only on the \$200 remaining balance.

June 1	Merchandise Inventory	250	
	Accounts Payable		250
	<i>Purchased goods, terms 2/10, n/60.</i>		
(c2) June 3	Accounts Payable	50	
	Merchandise Inventory		50
	<i>Returned goods to seller.</i>		
June 11	Accounts Payable	200	
	Merchandise Inventory		4
	Cash		196
	<i>Paid for \$200 goods less \$4 discount.</i>		

Purchases and Transportation Costs

Exhibit
5.7



Shipping Terms	Ownership Transfers at	Goods in Transit Owned by	Transportation Costs Paid by
FOB shipping point	Shipping point	Buyer	Buyer Merchandise Inventory ... # Cash #
FOB destination	Destination	Seller	Seller Delivery Expense # Cash #

Transportation Costs

Z-Mart purchased merchandise on terms of FOB shipping point. The transportation charge is \$75.

(d) Nov. 24	Merchandise Inventory	75	
	Cash		75
	<i>Paid freight costs on goods.</i>		

Purchases and Itemized Costs

Exhibit
5.8

Z-MART Itemized Costs of Merchandise Purchases For Year Ended December 31, 2017	
Invoice cost of merchandise purchases	\$ 235,800
Less: Purchases discounts received	(4,200)
Purchases returns and allowances	(1,500)
Add: Costs of transportation-in	2,300
Total net cost of merchandise purchases	<u><u>\$232,400</u></u>

Learning Objective

P2:

Analyze and record
transactions for merchandise
sales using a perpetual system.

Accounting for Merchandise Sales

Exhibit
5.9

Z-MART Computation of Gross Profit For Year Ended December 31, 2017

Net sales (net of discounts, returns, and allowances)	\$314,700
Cost of goods sold	<u>230,400</u>
Gross profit	<u><u>\$ 84,300</u></u>

Sales of Merchandise

Each sales transaction for a seller of merchandise involves two parts:

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graph TD; A[Each sales transaction for a seller of merchandise involves two parts:] --> B[Revenue received in the form of an asset from a customer.]; A --> C[Recognition of the cost of merchandise sold to a customer.];
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Revenue received
in the form of an
asset from a
customer.

Recognition of the
cost of merchandise
sold to a customer.

Sales without Cash Discounts

Z-Mart sold \$1,000 of merchandise on credit. The merchandise has a cost basis to Z-Mart of \$300.

Revenue side journal entry:

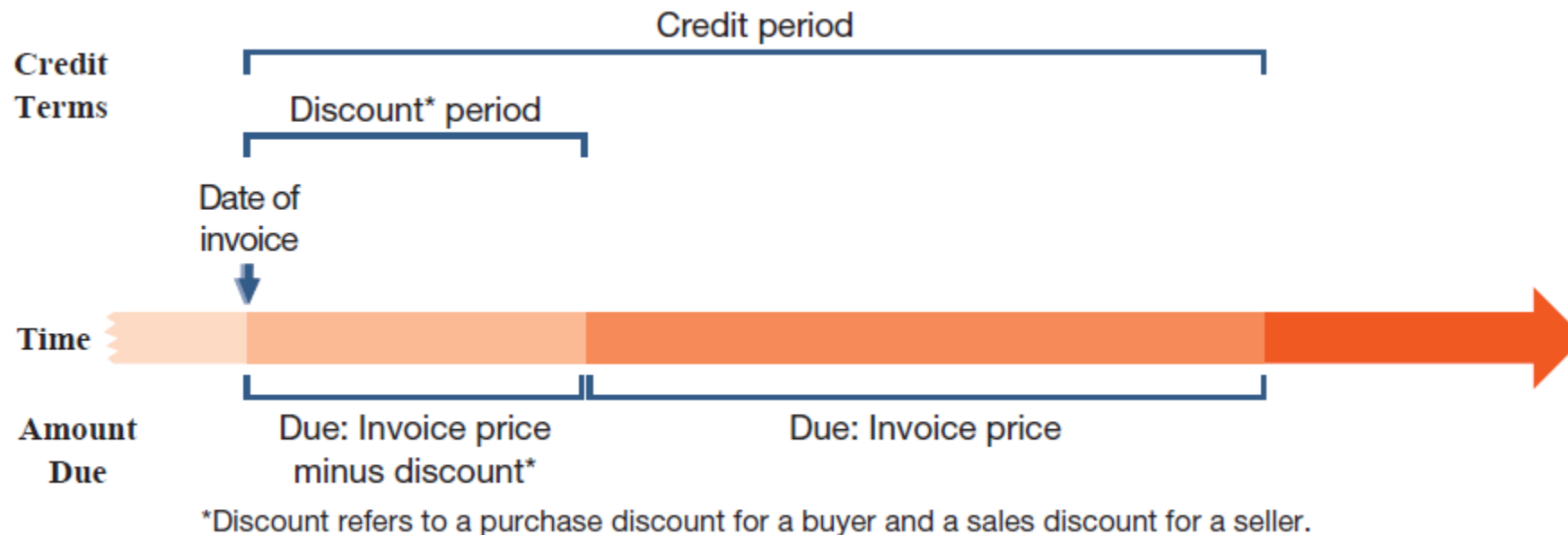
Nov. 12	Accounts Receivable	1,000	
	Sales		1,000
	<i>Sold goods on credit.</i>		

Cost side journal entry:

Nov. 12	Cost of Goods Sold	300	
	Merchandise Inventory		300
	<i>Record cost of Nov. 12 sale.</i>		

Sales Discounts (Cash Discount)

Sales discounts on credit sales can benefit a seller by decreasing the delay in receiving cash and reducing future collection efforts.



Sales with Cash Discounts

Z-Mart completes a \$1,000 credit sale with terms of 2/10, n/45.

Nov. 12	Accounts Receivable	1,000	
	Sales		1,000
	<i>Sold goods, terms 2/10, n/45.</i>		
Nov. 12	Cost of Goods Sold	300	
	Merchandise Inventory		300

Buyer pays within discount period:

Nov. 22	Cash*	980	
	Sales Discounts	20	
	Accounts Receivable		1,000
	<i>Received payment on Nov. 12 sale less discount.</i>		
	<i>* \$1,000 – (\$1,000 × 2%)</i>		

Buyer pays after discount period:

Dec. 27	Cash	1,000	
	Accounts Receivable		1,000
	<i>Received payment on Nov. 12 sale <u>after</u> discount period.</i>		

Sales Returns and Allowances

Sales returns and allowances usually involve dissatisfied customers and the possibility of lost future sales.

Sales returns refer to merchandise that customers return to the seller after a sale.

Sales allowances refer to reductions in the selling price of merchandise sold to customers.

Sales with Returns and Allowances

Customer returns merchandise which sold for \$15 and cost \$9.

(e1) Nov. 26	Sales Returns and Allowances	15	
	Cash		15
	<i>Goods returned from Nov. 12 sale.</i>		

Returned Goods - Not Defective:

(e2) Nov. 26	Merchandise Inventory	9	
	Cost of Goods Sold		9
	<i>Returned goods added to inventory.</i>		

Returned Goods - Are Defective:

Nov. 26	Merchandise Inventory	2	
	Loss from Defective Merchandise	7	
	Cost of Goods Sold		9
	<i>Returned defective goods to inventory and recorded loss.</i>		

Sales Allowances

Assume that \$40 of the merchandise Z-Mart sold on November 12 is defective but the buyer decides to keep it because Z-Mart offers a \$10 price reduction.

(f) Nov. 24	Sales Returns and Allowances	10	
	Cash		10
	<i>Sales allowance granted.</i>		

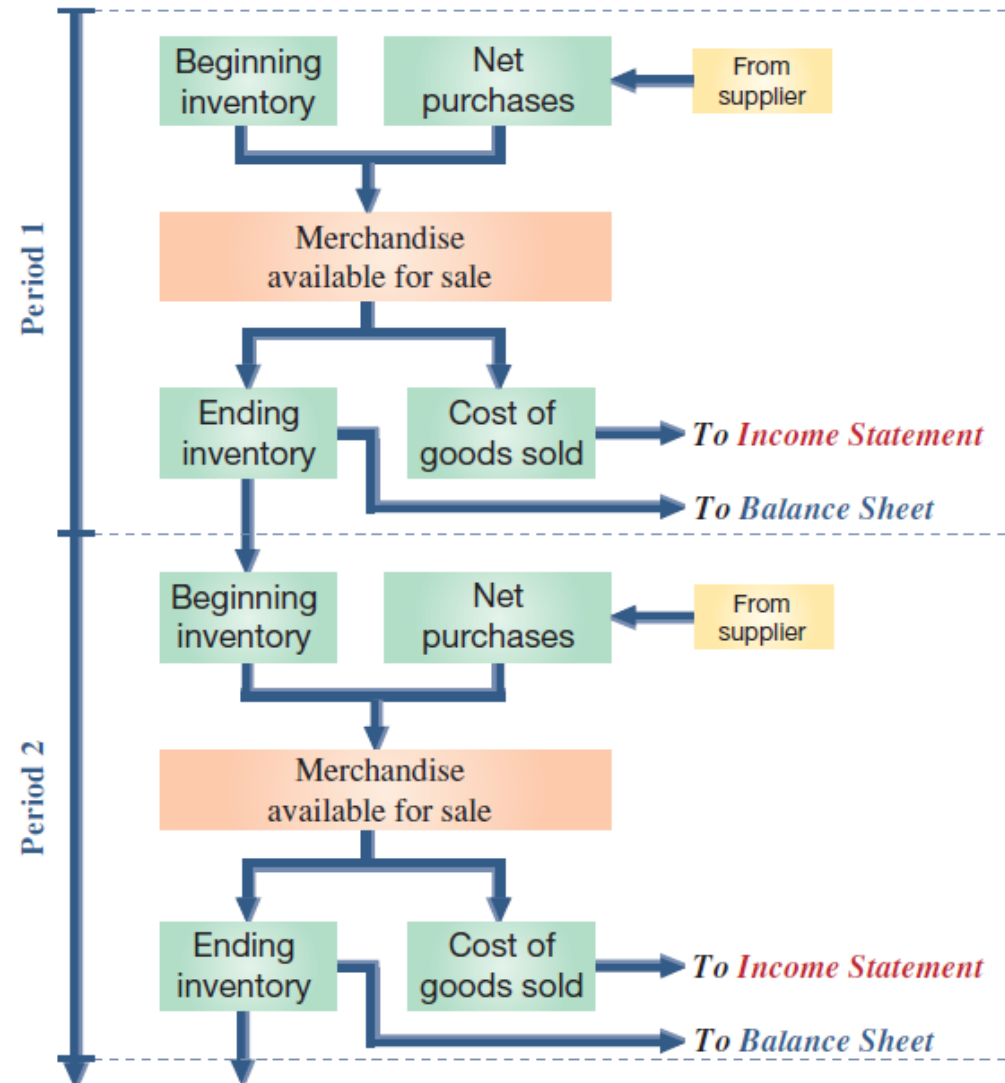
Learning Objective

P3:

Prepare adjustments and close accounts for a merchandising company.

Merchandising Cost Flow in the Accounting Cycle

Exhibit
5.10



Adjusting Entries for Merchandisers

Shrinkage: adjustment to reflect loss of merchandise:

Dec. 31	Cost of Goods Sold	250	
	Merchandise Inventory.....		250
	<i>Adjust for \$250 shrinkage.</i>		

Sales Discounts, Returns and Allowances:

New revenue recognition rules require reporting of sales at net amount expected. Adjusting entries required for:

1. Expected sales discounts
2. Expected returns and allowances (revenue side)
3. Expected returns and allowances (cost side)

Closing Entries for Merchandisers

Exhibit
5.11

Step 1: Close Credit Balances in Temporary Accounts to Income Summary.

Dec. 31	Sales	321,000	
	Income Summary		321,000
	<i>Close credit balances in temporary accounts.</i>		

Step 2: Close Debit Balances in Temporary Accounts to Income Summary.

Dec. 31	Income Summary	308,100	
	Sales Discounts		4,300
	Sales Returns and Allowances		2,000
	Cost of Goods Sold		230,400
	Depreciation Expense		3,700
	Salaries Expense		43,800
	Insurance Expense		600
	Rent Expense		9,000
	Supplies Expense		3,000
	Advertising Expense		11,300
	<i>Close debit balances in temporary accounts.</i>		

Step 3: Close Income Summary to Owner's Capital.

The third closing entry is identical for a merchandising company and a service company. The \$12,900 amount is net income reported on the income statement.

Dec. 31	Income Summary	12,900	
	K. Marty, Capital		12,900
	<i>Close Income Summary account.</i>		

Step 4: Close Withdrawals Account to Owner's Capital.

The fourth closing entry is identical for a merchandising company and a service company. It closes the Withdrawals account and adjusts the Owner's Capital account to the amount shown on the balance sheet.

Dec. 31	K. Marty, Capital	4,000	
	K. Marty, Withdrawals		4,000
	<i>Close Withdrawals account.</i>		

Learning Objective

P4:

Define and prepare multiple-step and single-step income statements.

Single-Step Income Statement

Exhibit
5.14

Z-MART Income Statement For Year Ended December 31, 2017		
Revenues		
Net sales.....		\$314,700
Interest revenue.....		1,000
Gain on sale of building.....		<u>2,500</u>
Total revenues.....		318,200
Expenses		
Cost of goods sold.....	\$230,400	
Selling expenses.....	42,100	
General and administrative expenses.....	29,300	
Interest expense.....	<u>1,500</u>	
Total expenses.....		<u>303,300</u>
Net income		<u>\$ 14,900</u>

Multiple-Step Income Statement

EXHIBIT 5.13

Multiple-Step Income Statement

Gross profit computation

Income from operations computation

Nonoperating activities computation

Z-MART Income Statement For Year Ended December 31, 2017			
Sales			\$321,000
Less: Sales discounts	\$ 4,300		
Sales returns and allowances	<u>2,000</u>	<u>6,300</u>	
Net sales			314,700
Cost of goods sold*		<u>230,400</u>	
Gross profit			84,300
Operating Expenses			
Selling expenses			
Depreciation expense—Store equipment	3,000		
Sales salaries expense	18,500		
Rent expense—Selling space	8,100		
Store supplies expense	1,200		
Advertising expense	<u>11,300</u>		
Total selling expenses	42,100		
General and administrative expenses			
Depreciation expense—Office equipment	700		
Office salaries expense	25,300		
Insurance expense	600		
Rent expense—Office space	900		
Office supplies expense	<u>1,800</u>		
Total general and administrative expenses	29,300		
Total operating expenses		<u>71,400</u>	
Income from operations			12,900
Other revenues and gains (expenses and losses)			
Interest revenue	1,000		
Gain on sale of building	2,500		
Interest expense	<u>(1,500)</u>		
Total other revenue and gains (expenses and losses)		<u>2,000</u>	
Net income			\$ 14,900

Classified Balance Sheet

Exhibit
5.15

Z-MART Balance Sheet (partial) December 31, 2017		
Current assets		
Cash	\$ 8,200	
Accounts receivable	11,200	
Merchandise inventory	21,000	
Office supplies	550	
Store supplies	250	
Prepaid insurance	300	
Total current assets	\$41,500	

Highly
Liquid



Less
Liquid

End of Chapter 5

Learning Objective

A1:

Compute the acid-test ratio
and explain its use it to assess
liquidity.

Acid-Test Ratio

$$\text{Acid-test ratio} = \frac{\text{Quick assets}}{\text{Current liabilities}}$$

$$\text{Acid-test ratio} = \frac{\text{Cash} + \text{Short-term investments} + \text{Receivables}}{\text{Current liabilities}}$$

A common rule of thumb is the acid-test ratio should have a value of at least 1.0 to conclude a company is unlikely to face liquidity problems in the near future.

Acid-Test Ratio

JCPenney

Exhibit
5.17

$$\text{Acid-test ratio} = \frac{\text{Cash} + \text{Short-term investments} + \text{Receivables}}{\text{Current liabilities}}$$

\$ millions	2015	2014	2013	2012	2011	2010
Total quick assets	\$1,318	\$1,519	\$ 987	\$1,920	\$2,956	\$3,406
Total current assets	\$4,331	\$4,833	\$3,683	\$5,081	\$6,370	\$6,652
Total current liabilities	\$2,241	\$2,846	\$2,568	\$2,756	\$2,647	\$3,249
Acid-test ratio	0.59	0.53	0.38	0.70	1.12	1.05
Current ratio	1.93	1.70	1.43	1.84	2.41	2.05
Industry acid-test ratio	0.55	0.50	0.51	0.54	0.61	0.59
Industry current ratio	2.03	1.99	1.94	2.01	2.27	2.15

Learning Objective

A2:

Compute the gross margin ratio and explain its use to assess profitability.

Gross Margin Ratio

$$\text{Gross margin ratio} = \frac{\text{Net sales} - \text{Cost of goods sold}}{\text{Net sales}}$$

Percentage of dollar sales available to cover expenses and provide a profit.

Exhibit
5.19

\$ millions	2015	2014	2013	2012	2011	2010
Gross margin	\$ 4,261	\$ 3,492	\$ 4,066	\$ 6,218	\$ 6,960	\$ 6,910
Net sales	\$12,257	\$11,859	\$12,985	\$17,260	\$17,759	\$17,556
Gross margin ratio	34.8%	29.4%	31.3%	36.0%	39.2%	39.4%

Learning Objective

P5:

Appendix 5A Record and compare merchandising transactions using both periodic and perpetual inventory system.

Periodic Inventory System - Purchases

Periodic inventory system updates inventory only at the end of a period to reflect the quantity and cost of goods available and goods sold.

(a)	Periodic	Perpetual	
Purchases	500	Merchandise Inventory	500
Accounts Payable	500	Accounts Payable	500
(b1)	Periodic	Perpetual	
Accounts Payable	500	Accounts Payable	500
Purchases Discounts*	10	Merchandise Inventory*	10
Cash	490	Cash	490
*\$500 × 2%		*\$500 × 2%	
(b2)	Periodic	Perpetual	
Accounts Payable	500	Accounts Payable	500
Cash	500	Cash	500
(c1)	Periodic	Perpetual	
Accounts Payable	30	Accounts Payable	30
Purchases Returns and Allowances	30	Merchandise Inventory	30
(c2)	Periodic	Perpetual	
Accounts Payable	50	Accounts Payable	50
Purchases Returns and Allowances	50	Merchandise Inventory	50
(d)	Periodic	Perpetual	
Transportation-In	75	Merchandise Inventory	75
Cash	75	Cash	75

Periodic Inventory System - Sales

Periodic inventory system updates inventory only at the end of a period to reflect the quantity and cost of goods available and goods sold.

	<i>Periodic</i>		<i>Perpetual</i>	
	Accounts Receivable.....	1,000	Accounts Receivable.....	1,000
	Sales	1,000	Sales	1,000
	No cost-side entry		Cost of Goods Sold	300
			Merchandise Inventory	300
	<i>Periodic</i>		<i>Perpetual</i>	
(e1)	Sales Returns and Allowances	15	Sales Returns and Allowances	15
	Cash	15	Cash	15
(e2)	No entry		Merchandise Inventory	9
			Cost of Goods Sold	9
	<i>Periodic</i>		<i>Perpetual</i>	
(f)	Sales Returns and Allowances	10	Sales Returns and Allowances	10
	Cash	10	Cash	10

Periodic Inventory– Adjusting & Closing Entries

Exhibit
5A.1

PERIODIC		
Adjusting Entries		
(z) None		
(g) Sales Discounts	50	
Allowance for Sales Discounts		50
(h1) Sales Returns and Allowances	900	
Sales Refund Payable		900
(h2) Inventory Returns Estimated	300	
Purchases		300

Entries in gray are covered in Appendix 5C.

PERIODIC		
Closing Entries		
(1) Sales	321,000	
Merchandise Inventory (ending)		21,000
Purchases Discounts		4,200
Purchases Returns and Allowances		1,500
Income Summary		
		347,700
(2) Income Summary	334,800	
Sales Discounts		4,300
Sales Returns and Allowances		2,000
Merchandise Inventory (beginning)		19,000
Purchases		235,800
Transportation-In		2,300
Depreciation Expense		3,700
Salaries Expense		43,800
Insurance Expense		600
Rent Expense		9,000
Supplies Expense		3,000
Advertising Expense		11,300
(3) Income Summary	12,900	
K. Marty, Capital		12,900
(4) K. Marty, Capital	4,000	
K. Marty, Withdrawals		4,000

PERPETUAL		
Adjusting Entries		
(z) Cost of Goods Sold	250	
Merchandise Inventory		250
(g) Sales Discounts	50	
Allowance for Sales Discounts		50
(h1) Sales Returns and Allowances	900	
Sales Refund Payable		900
(h2) Inventory Returns Estimated	300	
Cost of Goods Sold		300

Entries in gray are covered in Appendix 5C.

PERPETUAL		
Closing Entries		
(1) Sales	321,000	
Income Summary		321,000
(2) Income Summary	308,100	
Sales Discounts		4,300
Sales Returns and Allowances		2,000
Cost of Goods Sold		230,400
Depreciation Expense		3,700
Salaries Expense		43,800
Insurance Expense		600
Rent Expense		9,000
Supplies Expense		3,000
Advertising Expense		11,300
(3) Income Summary	12,900	
K. Marty, Capital		12,900
(4) K. Marty, Capital	4,000	
K. Marty, Withdrawals		4,000

Appendix 5B:

Work Sheet—Perpetual System

Exhibit
5B.1

	A	B	C	D	E	F	G	H	I	J	K	L
			Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance Sheet and Statement of Equity	
1			Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
2	No.	Account										
3	101	Cash	8,200				8,200				8,200	
4	106	Accounts receivable	11,250				11,250				11,250	
5	108	Allowance for sales discounts		0	(e) 50	50		50				50
6	119	Merchandise inventory	21,250		(5) 250	250	21,000				21,000	
7	121	Inventory returns estimated	200		(h2) 300	300	500				500	
8	126	Supplies	3,800		(2) 3,000	3,000	800				800	
9	128	Prepaid insurance	900		(1) 600	600	300				300	
10	167	Equipment	34,200				34,200				34,200	
11	168	Accumulated depr.—Equip.		3,700	(3) 3,700	3,700		7,400				7,400
12	201	Accounts payable		16,000				16,000				16,000
13	209	Salaries payable			(4) 800	800		800				800
14	227	Sales refund payable		300	(h1) 900	900		1,200				1,200
15	301	K. Marty, Capital		41,900				41,900				41,900
16	302	K. Marty, Withdrawals	4,000				4,000				4,000	
17	413	Sales		321,000				321,000		321,000		
18	414	Sales returns and allowances	1,100		(h1) 900	900	2,000		2,000			
19	415	Sales discounts	4,250		(e) 50	50	4,300		4,300			
20	502	Cost of goods sold	230,450		(5) 250 (h2) 300	550	230,400		230,400			
21	612	Depreciation expense—Equip.			(3) 3,700	3,700		3,700		3,700		
22	622	Salaries expense	43,000		(4) 800	800		43,800		43,800		
23	637	Insurance expense			(1) 600	600		600		600		
24	640	Rent expense	9,000				9,000		9,000			
25	652	Supplies expense			(2) 3,000	3,000		3,000		3,000		
26	655	Advertising expense	11,300				11,300		11,300			
27		Totals	382,900	382,900	9,600	9,600	388,350	388,350	308,100	321,000	80,250	67,350
28		Net income							12,900			12,900
29		Totals							321,000	321,000	80,250	80,250
30												

Learning Objective

P6:

Appendix 5C – Prepare adjustments for discounts, returns and allowances per revenue recognition rules.

Adjusting Entries under New Revenue Recognition Rules

Expected Sales Discounts

Adjusting entries required to estimate sales discounts for current-period's sales expected to be taken in future periods.

1. Z-Mart has unadjusted Accounts Receivable of \$11,250 and Allowance for Sales Discounts of \$0.
2. \$2,500 of receivables are within 2% discount period.
3. Expect buyers to take \$50 in future period discounts (\$2,500 x 2%).

(g) Dec. 31	Sales Discounts	50	
	Allowance for Sales Discounts		50
	<i>Adjustment for future discounts.</i>		

Adjusting Entries under New Revenue Recognition Rules

Expected Sales Discounts:
Adjusting entries result in Accounts receivable and sales being reported at their net expected amounts:

Balance Sheet—partial	
Accounts receivable	\$11,250
Less allowance for sales discounts	<u>50</u>
Accounts receivable, net	\$11,200

Income Statement—partial	
Sales	\$321,000
Less sales discounts	<u>4,300</u>
Net sales	\$316,700

Adjusting Entries under New Revenue Recognition Rules

Revenue side for Expected R&A:

Seller sets up a Sales Refund Payable, current liability reflecting amount expected to be refunded to customers.

1. Company estimates future sales refunds to be \$1,200.
2. Unadjusted balance in Sales Refund Payable is \$300 credit.
3. Adjusting entry for \$900 update to Sales Refund Payable

(b1) Dec. 31	Sales Returns and Allowances Sales Refund Payable <i>Expected refund of sales.*</i>	900 900
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Adjusting Entries under New Revenue Recognition Rules

Cost side for Expected R&A:

Seller sets up an Inventory Returns Estimated account, current asset reflecting the inventory estimated to be returned.

1. Company estimates future inventory returns to be \$500.
2. Unadjusted balance in Inventory Returns Estimated is \$200 debit.
3. Adjusting entry for \$300 update to Inventory Returns Est.

(b2) Dec. 31	Inventory Returns Estimated Cost of Goods Sold <i>Expected return of inventory.*</i>	300 300
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Learning Objective

P7:

Appendix 5D – Record and compare merchandising transactions using the gross method and net method.

Perpetual System – Net vs Gross Method Purchases

Net method records invoice at its amount net of any discounts.

Gross Method—Perpetual

Merchandise Inventory	500	
Accounts Payable		500

Net Method—Perpetual

Merchandise Inventory	490	
Accounts Payable		490

Gross Method—Perpetual

Accounts Payable	500	
Merchandise Inventory ...		10
Cash		490

Net Method—Perpetual

Accounts Payable	490	
Cash		490

Gross Method—Perpetual

Accounts Payable	500	
Cash		500

Net Method—Perpetual

Accounts Payable	490	
Discounts Lost*	10	
Cash		500

Perpetual System – Net vs Gross Method Sales

Net method records invoice at its amount net of any discounts.

Gross Method—Perpetual

Accounts Receivable.....	500	
Sales		500

Cost of Goods Sold	200	
Merchandise Inventory ...		200

Net Method—Perpetual

Accounts Receivable.....	490	
Sales		490

Cost of Goods Sold	200	
Merchandise Inventory		200

Gross Method—Perpetual

Cash.....	490	
Sales Discounts.....	10	
Accounts Receivable		500

Net Method—Perpetual

Cash.....	490	
Accounts Receivable		490

Gross Method—Perpetual*

Cash.....	500	
Accounts Receivable		500

Net Method—Perpetual*

Cash.....	500	
Interest Revenue		10
Accounts Receivable		490

Periodic System – Net vs. Gross Method Purchases

Net method records invoice at its amount net of any discounts.

Gross Method—Periodic

Purchases	500	
Accounts Payable		500

Net Method—Periodic

Purchases	490	
Accounts Payable		490

Gross Method—Periodic

Accounts Payable	500	
Purchases Discounts		10
Cash		490

Net Method—Periodic

Accounts Payable	490	
Cash		490

Gross Method—Periodic

Accounts Payable	500	
Cash		500

Net Method—Periodic

Accounts Payable	490	
Discounts Lost	10	
Cash		500